

principle of obtaining value for his investment . . . irrespective of whether a business grows or doesn't, displays volatility or smoothness in earnings, or carries a high price or low in relation to its current earnings and book value, the investment shown by the discounted-flows-of-cash calculation to be the cheapest is the one that the investor should purchase.”³⁰

Buy at Attractive Prices

Focusing on good businesses—those that are understandable, with enduring economics, run by shareholder-oriented managers—by itself is not enough to guarantee success, Buffett notes. First, he has to buy at sensible prices and then the company has to perform to his business expectations. If we make mistakes, he points out, it is either because of (1) the price we paid, (2) the management we joined, or (3) the future economics of the business. Miscalculations in the third instance are, he notes, the most common.

It is Buffett's intention not only to identify businesses that earn above-average returns, but to purchase them at prices far below their indicated value. Graham taught the importance of buying a stock only when the difference between its price and its value represented a margin of safety.

The margin-of-safety principle assists Buffett in two ways. First, it protects him from downside price risk. If he calculates the value of a business to be only slightly higher than its per-share price, he will not buy the stock; he reasons that if the company's intrinsic value were to dip even slightly because he misappraised future cash flow, eventually the stock price would drop, too, perhaps below what he paid for it. But if the margin between purchase price and intrinsic value is large enough, the risk of declining intrinsic value is less. If Buffett purchases a company at a 25 percent discount to intrinsic value and the value subsequently declines by 10 percent, his original purchase price will still yield an adequate return.

The margin of safety also provides opportunities for extraordinary stock returns. If Buffett correctly identifies a company with above-average economic returns, the value of the stock over the long term will steadily march upward as the share price mimics the return of the business. If a company consistently earns 15 percent on equity, its share price will advance more each year than that of a company that earns 10 percent on